NCERT Summary: Topic 08: Money, Banking & Credit

Source Integration

- NCERT Class 10 Understanding Economic Development, Chapter 3: Money and Credit
- NCERT Class 12 Introductory Macroeconomics, Chapter 3: Money and Banking

Core Factual & Conceptual Architecture

1. The Genesis & Functions of Money

- Limitations of Barter: The fundamental bottleneck of barter exchange is the double coincidence of wants, where both parties must simultaneously desire the specific commodity offered by the other. This creates severe transaction and search frictions.
- Money Definition: A universally accepted intermediate good that facilitates trade, eliminates the requirement for double coincidence of wants, and reduces search costs.
- Three Core Functions of Money:
  - Medium of Exchange: Enables frictionless indirect trade of goods and services.
  - Unit of Account: Serves as a standard numerical monetary unit to evaluate, quote, and compare relative market values.
  - Store of Value: Enables purchasing power to be transferred from the present to the future without physical degradation, contingent upon price stability.

2. Modern Forms of Money & Components

- Currency: Paper currency notes and metallic coins. Modern currency carries zero intrinsic commodity value and functions as legal tender because it is authorized by the sovereign state. The Reserve Bank of India issues currency on behalf of the central government.
- Demand Deposits: Liquid balances kept in commercial banking accounts that can be withdrawn or transferred on demand via cheques, cards, or digital transfers.
- Baseline Money Supply Measure (M1): Currency held by the public + Demand deposits held by commercial banks.
- Modern Digital Infrastructure: Initiatives driving digital payments including Jan Dhan financial inclusion accounts, Unified Payments Interface, National Financial Switch, and biometric payment systems.

3. Credit Creation & Banking Mechanics

- Intermediation Role: Commercial banks channel surplus savings from depositors to productive borrowers, earning profit from the spread between higher borrowing rates and lower deposit rates.
- Fractional Reserve Banking: Commercial banks keep a legally mandated fraction of total deposits as liquid reserves to meet daily withdrawal needs, lending the surplus to generate fresh credit.
- Reserve Ratios:
  - Cash Reserve Ratio (CRR): The statutory fraction of total deposits that commercial banks must maintain in liquid cash with the Reserve Bank of India.
  - Statutory Liquidity Ratio (SLR): The mandatory reserve proportion that commercial banks must preserve in unencumbered liquid assets such as cash, physical gold, or government securities.
- Money Multiplier: The reciprocal of the legal reserve ratio (Money Multiplier = 1 / CRR in standard models).
  - Inverse Relationship: A higher Cash Reserve Ratio reduces the money multiplier, contracting aggregate bank lending capacity and shrinking overall money supply. A lower ratio expands the multiplier and broadens credit availability.

4. Monetary Policy Framework of the Central Bank

- Establishment & Functions of the RBI: Established in 1935, the Reserve Bank of India acts as the apex monetary authority, currency issuer, fiscal banker to the central and state governments, custodian of foreign exchange reserves, and lender of last resort.

- Policy Instruments:
  - Quantitative Controls: Cash Reserve Ratio, Statutory Liquidity Ratio, Bank Rate, Repo Rate, and Open Market Operations (buying or selling sovereign government securities to inject or mop up system liquidity).
  - Qualitative Controls: Margin requirements, direct lending guidelines, and moral suasion.

5. Credit Architecture & Dynamics

- Dual Economic Nature of Credit:
  - Productive Catalyst: Provides working capital to procure inputs, scale output, and raise incomes during peak manufacturing cycles.
  - Exploitative Debt Trap: High-interest borrowing coupled with agricultural shocks or crop failures leads to compound liabilities, forcing distress asset sales of land and livestock.
- Terms of Credit: Four binding elements governing any loan contract: interest rate, collateral security, administrative documentation, and repayment schedule.

6. Formal vs. Informal Credit Sectors in India

- Structural Dichotomy:
  - Formal Sector: Commercial banks and cooperative credit societies, strictly regulated and supervised by the Reserve Bank of India to maintain prudent interest rates, fair recovery terms, and priority lending.
  - Informal Sector: Moneylenders, landlords, traders, relatives, and commission agents operating outside regulatory supervision, frequently charging usurious interest rates.
- Equity Disparities: Formal banking services serve roughly half of rural borrowing needs, with poorer families disproportionately dependent on costlier informal credit.
- Self-Help Groups (SHGs): Microfinance collectives usually comprising 15 to 20 rural women who pool small savings, issue emergency credit to peers at reasonable interest rates, and leverage collective social guarantees to secure collateral-free bank loans.

✍ Notes & Updates